Chapter #7

1) The framework of employee relations law and changing Management practices:

7.1: Employee Relations

- Employee relations refers to how a company manages the relationships b/w employers and employees.
- The goal is to create a positive work environment where employees feel treated fairly and are committed to their jobs.

Importance of employee relations:

- **Fair treatment:** A good employee relations program ensures that all employees are treated equally.
- **Employee loyalty:** when employees feel respected and valued, they are more likely to stay loyal to the company.
- **Problem-solving:** it helps prevent and resolve workplace problems, keeping the business running smoothly.

Industrial relations: A Part of employee relations:

→ Industrial relations are about how management interacts with trade unions. This includes:

Collective bargaining: Negotiations between management and trade unions on things like pay, benefits and work conditions.

Dispute resolution: Handling conflicts between employees and management.

What is collective agreement?

A. Collective agreement is a formal deal between a company and a trade union. it sets out the terms of employment like pay and working hours, agreed upon by both parties.

Why managing employee relations is important?

- **Happy employees = productive employees:** When employees are satisfied they work better.

Smooth workplace: Good employee relations reduce conflicts and misunderstandings, helping the business operate efficiently.

Working with TU: In many countries, companies negotiate with trade unions to decide employment rules, rather than a company deciding alone.

Collective Bargaining

- Collective bargaining is a process where employees and employers (usually through a trade union) negotiate to reach agreements on work-related issues like wages, working conditions and other employment terms.
- Flanders (1970) described it as a way to turn disagreements into agreements in a structured, orderly manner.

Types of Bargaining

(i) Conjunctive or distributive
(ii) Co-operative or integrative
iii) Productivity
iv) Composite

1: Conjunctive Bargaining

- Type of negotiation where both sides - employees and employers try to maximize their own benefits
- it is based on the principle: "My gain is your loss, and your gain is my loss."

Employee goals: Employees usually aim for higher wages, better bonuses, and more benefits for the work they do.

Employer's goals: Employers may want to reduce cost by increasing workloads or keeping wages low.

The conflict:

- Both sides focus mainly on their own interests.
- if neither side is willing to compromise or be flexible, it becomes a tough negotiation. it would be considered as distributive bargaining - each side is trying to distribute benefits in their own favor.

(ii) Cooperative Bargaining

- Type of negotiation where both employer and employees work together to solve problems and reach a fair solution.
- Instead of competing for their own benefit, both sides collaborate to find a win-win outcome.

Mutual agreement:
- Both sides discuss the issues openly and aim to help each other.

Dependence on each other:
- Both employer and employees can achieve their goals more effectively by supporting one another.

Key features:

(i) **flexibility:**
- Both parties are willing to compromise and adjust their demands to find a solution that benefits everyone.

(ii) Understanding & **Cooperation:**
- There is a focus on understanding the needs of the other side.

example: Both side prioritize each other well being. For instance, the union might reduce its wage demands if they understand the company financial issues, and the company might agree to better work conditions in return. This approach builds trust and fosters better long-term relationships.

3: Productive Bargaining

- Type of negotiation where the employer offers workers bonuses or incentives if they increase their productivity.
- This motivates employees to work harder, aiming to produce more than the usual standard to earn extra benefits.

employer's goal: Want to increase productivity or output.

employee's reward: In return for working harder and producing more employees receive extra pay, bonuses or other incentives.

4: Composite Bargaining

- Type of bargaining where employees or unions negotiate with the employer not just about wages or productivity but about broader issues like work conditions, Safety, job security and growth opportunities.

Employee focus: Employees or union want to ensure fair treatment in areas like salary levels, work policies, Safety standards and chances for promotion.

Employer's Role: The employer discuss these topics with the union to reach an agreement that benefits both sides.

Example:

- if a union negotiates for higher productivity, but also insists on improving workplace Safety standards, this would be an example of Composite bargaining.

Employee relations in Software industry:

Limited use of collective bargaining:

- In Software industry, the traditional model of collective bargaining does not apply much. This is because Trade unions have had little influence among Software workers.

Employer control: Most of the terms and conditions for Software workers, like Salary and working hours, are decided directly by employers and managers.

Alternative to Unions:

- Instead of unions, Some Companies use joint Consultations with employee representatives. These Consultations allow employees to have a say in decisions, but they are not as formal or powerful as union negotiations.

their goals.

For example they might need to ask their members if they agree to go on strike (Stop working as a protest) before actually doing it.

Legal rules for unions:

→ These are laws that dictate how unions can be formed and what procedures they must follow.

These law can protect worker's rights to join a union if they want to, or to choose not to join one if they prefer.

obligations of union members:

→ Some laws allow unions to require their members to follow certain decisions made by the group.

→ For instance, if a majority of members vote to go on strike, everyone in the union might be expected to support that decision.

Workplace Participation:

Worker rights in Management:

In many developed countries, workers have the legal right to be involved in decisions about how their workplace is managed. This means they can have a say in important company matters.

Codetermination:

→ In many European union countries, like Germany, Sweden and France, workers can elect some of the directors who sit on the board of directors in large companies. This practice is known as codetermination. Typically, workers can elect about one-third of the board members.

Sweden's regulations:-

→ In sweden, there are Specific laws that explain how workers can participate in Company management.

For example, in some companies, workers have the right to choose two representatives to sit on the board and two alternate representatives.

Larger Companies:

→ if a company has more than 1000 employees, the number of worker representatives increases to three board members and three substitutes.

Information & Consultation:

→ Workplace laws require that employers to talk their workers about important issues that affect them.

→ Means employers must seek input or feedback from employees before making decisions on things like changes in work conditions, policies or other significant matters.

FrameWork of Individual labor law:

→ Individual labor law focuses on the relationship between a single employee and their employer.

→ it deals with the rules and rights that come from their employment contract.

Employment contract:

→ This contract is an agreement that outlines the terms of employment, including things like job responsibilities, salary, benefits, and working hours.

Minimum Wage: → headed by Country.

→ Minimum wage is the lowest amount of money that a worker can be paid for their, usually calculated on an hourly basis.

→ Minimum wage ensures that workers receive a basic level of pay for their work, but the rules about it can vary greatly from one country to another.

Employment Terms:

→ Employment term define the working relationship between employees and employers, ensuring both sides understand their rights and responsibilities.

→ labor law is based on a contract between the worker and the employer. This contract outlines the rights and responsibilities of both parties.

legal coverage:

→ Many of the terms and conditions in these contracts are Supported by laws or Common law.

"At will" Employment in the U.S:

According to this law:
An employer can fire an employee from a position for any reason and an employee may quite at any time, for any reason (or for no reason), and is just required to give a prior notice.

Written employment details:

→ Many countries require employers to provide written information about the job to the employee.
→ This helps employees understand what they can expect and what is expected of them.
→ This written information typically covers important topics such as pay, vacation days, sick leave and job duties.

Living wage: - headed by state.

- A living wage is higher than a minimum wage and is designed that a full time worker would be able to support themselves and a small family at that wage.

fulfill all the needs decently.

→ A living wage is the minimum income needed for workers to cover their basic needs.
→ These needs include things like food, housing and essential items such as clothing.

Goal of a living wage:

→ To enable workers to being able to afford not just the essentials, but also a little extra for a better quality of life.

Variability of needs:

→ Since everyone's needs can differ, there isnot a single, agreed-upon amount for what a living wage should be.
→ it can change based on location and size of household.

Hours:

→ Many countries have laws that set the maximum number of hours a worker can be required to work each day or week.
→ Before the industrial revolution, people often worked long hours, typically b/w 11 to 14 hours a day.

→ As factories and machines became more common during industrialization, hours became far more common, reaching as high as 16 hours per day.

→ Current standards workday is set at 8-hours.

Extray pay for overtime:

→ if workers who work more than set hours, they may get extra pay known as overtime pay.

Health and Safety:

→ Labor laws include rules that are designed to protect the safety and health of workers while they are on job.

→ These laws cover everything related to health and safety in the workplace, ensuring that environments are safe for employees.

→ Also involves, taking steps to identify potential dangers and preventing before they occur.

Discrimination:

→ Discrimination refers to unfair treatment of individuals based on certain characteristics, such as their race or gender.

→ Labor laws make it illegal to discriminate against employees.

→ Discrimination is not only considered wrong from a legal perspective but also morally unacceptable.

→ Discrimination laws exist to protect employees from being treated unfairly because of who they are, and such behavior is both illegal and wrong.

3) Equal Pay & Gender Discrimination:-

→ Equal pay means that everyone should earn the same money for the same job, and laws are in place to help make this happen, especially to protect against unfair treatment based on gender.

Equal pay for equal work:

→ People doing the same job in the same workplace should be paid the same ~~workplace~~ amount, regardless of their gender.

Focus on gender discrimination:

→ Equal pay concept is often relate to gender discrimination, especially concerning the gender pay gap.

What equal pay covers:

→ Not just covers regular salary but also bonuses and allowances.

→ Some Countries have made more progress in fixing the issue of pay inequality

Legal framework in the U.S:

→ Equal pay Act was signed into law by president John F. Kennedy in 1963, it has been illegal to pay men and women different salaries for doing the same work at the same place.